

- Families want the last rites of their loved ones to be done right. They don't go shopping for the low bid. They are likely to follow tradition and use the services of the same funeral home that the family has used in the past.
- I don't know any teenagers who aspire to become tycoons in the funeral business. The morbid nature of the business also serves to keep upstarts down to a trickle.
- As Warren Buffett has succinctly stated, industries with rapid change are bad for the investor. The choices that most humans consider for their last rites are pretty set and slow to change over hundreds of years. Even the growing preference for cremations over burials is a gradual shift that existing players have easily adapted to.
 - The population of the United States continues to grow and is expected to keep increasing over the coming decades, leading to an increasing revenue stream for years to come.
 - While increased life expectancy puts a damper on near-term revenue, pre-need sales counterbalance this trend. Pre-need sales make up about 25 percent of the total revenue for many operators. How would you like to be in a business where your customers pay you today for a service you might not deliver for 40 years!

With these characteristics, funeral homes ought to trade at very high premiums and double-digit P/E ratios. Their cash flow has a very high degree of certainty. And yet, here was this bulletproof business being discarded by the Street.

There was no clear answer in July 2000 as to how Stewart was going to pay down its debt load and avoid default. Wall Street assumed the company would have to declare bankruptcy when it defaulted on its debt and tanked the stock.

At the time, Stewart had about \$700 million in annual revenues and owned about 700 cemeteries and funeral homes in nine countries, with the bulk of them in the United States. Stewart's tangible book value was \$4 per share. It was thus trading at half of book value. Since book value included hard assets like land at cost, it was likely understated.